Bogleheads

Lazy portfolios

*This article contains details **specific to United States (US) investors**. If you are a non-US investor, **do not use** any funds or ETFs listed here. They expose you to harmful US dividend tax and estate tax risks. Proceed **only** if you have verified these risks do not apply to you.*
Non-US investors can find related information at Simple non-US portfolios and Canadian versions of lazy portfolios.

Lazy portfolios are widely used by investors who want a simple, low-cost, and diversified investment plan. Built from just a few index funds, these portfolios are easy to set up and maintain, and they provide broad market exposure. For many long-term investors, they offer an effective default approach that aligns with the Bogleheads investment philosophy. They are an excellent choice for new investors.

The term "lazy" reflects the low maintenance required, not the quality or rigor of the portfolio design.[note 1] Most investors can keep these portfolios on track with only occasional rebalancing, often taking less than an hour per year.

Getting started with saving and investing is far more important than perfecting your portfolio from day one. New investors often fall into analysis paralysis, spending so much time analyzing every possible fund choice or asset allocation that they delay investing altogether.[1] Early on however, the biggest gains come from consistent contributions and time in the market.[2] A simple, diversified portfolio—such as the lazy portfolios described here—lets you begin building wealth immediately without needing to master every detail. As knowledge and confidence grow, you can always refine the portfolio later, but you cannot recover the time lost from waiting.

You can find historical performance information for many of the "lazy portfolios" on our site's blog; see Portfolios - Bogleheads® blog (https://www.bogleheads.org/blog/portfolios/). For information on portfolio construction, see How to build a lazy portfolio.

One-fund portfolio

For those starting out and learning about investing, a single fund is a great way to begin investing. You can invest in broad US and International markets, as well as bonds, using a single fund.

Forum member longinvest suggests using either the Vanguard LifeStrategy Moderate Growth Fund (https://investor.vanguard.com/investment-products/mutual-funds/profile/vsmgx) or iShares Core 60/40 Balanced Allocation ETF (https://www.blackrock.com/us/individual/products/239756/ishares-growth-allocation-etf) for a one-fund portfolio.[3] If you are establishing a new IRA or taxable account, choose the Vanguard fund. If you are investing in an employer plan, you can usually purchase the iShares ETF using a brokerage option.

For tax reasons, target date funds are a poor choice for one-fund lazy portfolios in taxable accounts. See Tax inefficiency of target date retirement funds for a detailed discussion.

Two-fund portfolio

Main article: Two-fund portfolio

You can invest in broad US and International markets, as well as bonds, using only two funds. Rick Ferri proposed a two-fund portfolio containing the total world stock market, and a diversified US bond market index fund as follows.[4] Expense ratios are shown in parentheses.

Rick Ferri's Two-Fund Portfolio[4]

% Allocation	Asset Class	Using Mutual Funds	Using ETFs	
		Vanguard	Vanguard	SPDR
60%	Total World Stock Market	VTWAX (https://investor.vanguard.com/investment-products/mutual-funds/profile/vtwax) (0.09%)	VT (https://investor.vanguard.com/investment-products/etfs/profile/vt) (0.06%)	SPGM (https://www.ssga.com/us/en/institutional/etfs/funds/spdr-portfolio-msci-global-stock-market-etf-spgm) (0.09%)
40%	Total Bond Market	VBTLX (https://investor.vanguard.com/investment-products/mutual-funds/profile/vbtlx) (0.04%)	BND (https://investor.vanguard.com/investment-products/etfs/profile/bnd) (0.03%)	SPAB (https://www.ssga.com/us/en/institutional/etfs/funds/spdr-portfolio-aggregate-bond-etf-spab) (0.03%)

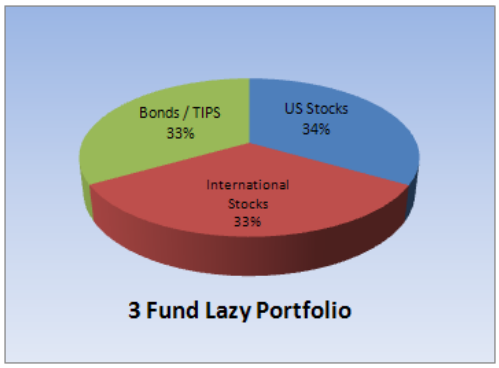
Three-fund portfolios

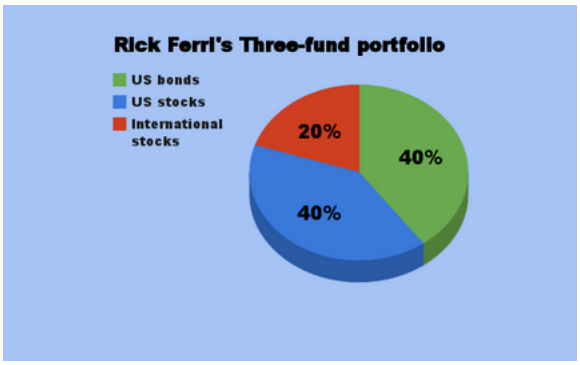
Main article: Three-fund portfolio

A number of popular authors and columnists have suggested three-fund lazy portfolios. These usually consist of three equal parts of bonds (total bond market or TIPS), total US market and total international market. While the "% allocation" is different from those listed below, these funds typically make up the core of Vanguard's Target Retirement and Lifestrategy funds. Expense ratios are shown in parentheses.

Taylor Larimore's Three-Fund Portfolio[note 2]

% Allocation	Asset Class	Using Mutual Funds			Using ETFs	
		Vanguard	Fidelity	Schwab[note 3]	Vanguard	iShar
–	Total US Stock Market	VTSAX (https://investor.vanguard.com/investment-products/mutual-funds/profile/vtsax) (0.04%)	FSKAX (https://fundresearch.fidelity.com/mutual-funds/summary/315911693) (0.015%)	SWTSX (https://www.schwabassetmanagement.com/products/swtsx) (0.03%)	VTI (https://investor.vanguard.com/investment-products/etfs/profile/vti) (0.03%)	ITOT (https://s.com/us/pro24/ishares-cous-stock-m (0.03
–	Total International Stock Market	VTIAX (https://investor.vanguard.com/investment-products/mutual-funds/profile/vtiax) (0.09%)	FTIHX (https://fundresearch.fidelity.com/mutual-funds/summary/31635V638) (0.06%)	SWISX (https://www.schwabassetmanagement.com/products/swisx) (0.06%)	VXUS (https://investor.vanguard.com/investment-products/etfs/profile/vxus) (0.05%)	IXUS (https:/es.com/us/pr048/ishares-cotal-internatiotf) (0.0
–	Total Bond Market	VBTLX (https://investor.vanguard.com/investment-products/mutual-funds/profile/vbtlx) (0.04%)	FXNAX (https://fundresearch.fidelity.com/mutual-funds/summary/316146356) (0.025%)	SWAGX (https://www.schwabassetmanagement.com/products/swagx) (0.04%)	BND (https://investor.vanguard.com/investment-products/etfs/profile/bnd) (0.03%)	AGG (https://s.com/us/pro58/ishares-cobond-mar (0.04





Scott Burns' Margarita Portfolio / Andrew Tobias' Three-Fund Portfolio[5]

% Allocation	Asset Class	Using Mutual Funds			Using ETFs	
		Vanguard	Fidelity	Schwab[note 3]	Vanguard	iShar
34%	Total US Stock Market	VTSAX (https://investor.vanguard.com/investment-products/mutual-funds/profile/vtsax) (0.04%)	FSKAX (https://fundresearch.fidelity.com/mutual-funds/summary/315911693) (0.015%)	SWTSX (https://www.schwabassetmanagement.com/products/swtsx) (0.03%)	VTI (https://investor.vanguard.com/investment-products/etfs/profile/vti) (0.03%)	ITOT (https://s.com/us/pro24/ishares-cous-stock-m (0.03
33%	Total International Stock Market	VTIAX (https://investor.vanguard.com/investment-products/mutual-funds/profile/vtiax) (0.09%)	FTIHX (https://fundresearch.fidelity.com/mutual-funds/summary/31635V638) (0.06%)	SWISX (https://www.schwabassetmanagement.com/products/swisx) (0.06%)	VXUS (https://investor.vanguard.com/investment-products/etfs/profile/vxus) (0.05%)	IXUS (https:/es.com/us/pr048/ishares-cotal-internatiotf) (0.0
33%	Inflation-Protected Securities	VAIPX (https://investor.vanguard.com/investment-products/mutual-funds/profile/vaipx) (0.10%)	FIPDX (https://fundresearch.fidelity.com/mutual-funds/summary/31635T104) (0.05%)	SWRSX (https://www.schwabassetmanagement.com/products/swrsx) (0.05%)	---[note 4]	TIP (https://s.com/us/pro67/ishares-tip (0.19

Rick Ferri's Lazy Three-Fund Portfolio[4][note 5]

% Allocation	Asset Class	Using Mutual Funds			Using ETFs	
		Vanguard	Fidelity	Schwab[note 3]	Vanguard	iShar
40%	Total US Stock Market	VTSAX (https://investor.vanguard.com/investment-products/mutual-funds/profile/vtsax) (0.04%)	FSKAX (https://fundresearch.fidelity.com/mutual-funds/summary/315911693) (0.015%)	SWTSX (https://www.schwabassetmanagement.com/products/swtsx) (0.03%)	VTI (https://investor.vanguard.com/investment-products/etfs/profile/vti) (0.03%)	ITOT (https://s.com/us/pro24/ishares-cous-stock-m (0.03
20%	Total International Stock Market	VTIAX (https://investor.vanguard.com/investment-products/mutual-funds/profile/vtiax) (0.09%)	FTIHX (https://fundresearch.fidelity.com/mutual-funds/summary/31635V638) (0.06%)	SWISX (https://www.schwabassetmanagement.com/products/swisx) (0.06%)	VXUS (https://investor.vanguard.com/investment-products/etfs/profile/vxus) (0.05%)	IXUS (https:/es.com/us/pr048/ishares-cotal-internatiotf) (0.0
40%	Total Bond Market	VBTLX (https://investor.vanguard.com/investment-products/mutual-funds/profile/vbtlx) (0.04%)	FXNAX (https://fundresearch.fidelity.com/mutual-funds/summary/316146356) (0.025%)	SWAGX (https://www.schwabassetmanagement.com/products/swagx) (0.04%)	BND (https://investor.vanguard.com/investment-products/etfs/profile/bnd) (0.03%)	AGG (https://s.com/us/pro58/ishares-cobond-mar (0.04

In addition, there are several close alternatives to these funds, especially when purchasing through Vanguard. For example, the "Vanguard Inflation-Protected Securities Fund" also has a short term alternative, "Vanguard Short-Term Inflation-Protected Securities Index Fund" (tickers VTIPX (https://investor.vanguard.com/investment-products/mutual-funds/profile/vtipx) or VTAPX (https://investor.vanguard.com/investment-products/mutual-funds/profile/vtapx)) which can offer slightly less volatility in NAV.

Core four portfolios

As Rick Ferri proposed on the Bogleheads forum, the 'Core Four'[6] are four funds which form the "cornerstone" of a portfolio. Low-cost, total market fund examples are shown below (with expense ratios in parentheses).

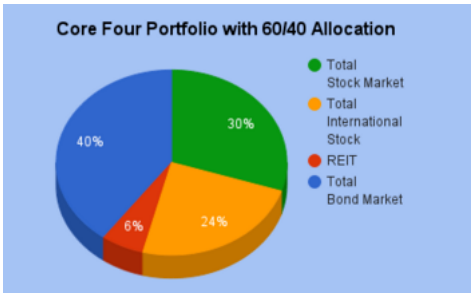
Rick Ferri's Core Four Portfolio[4]

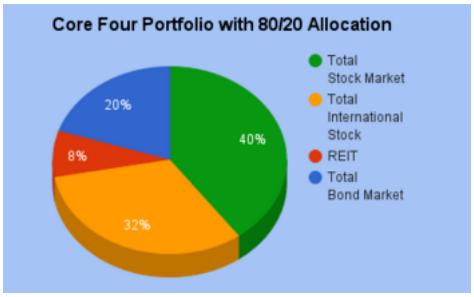
Asset Class	Using Mutual Funds			Using ETFs	
	Vanguard	Fidelity	Schwab[note 3]	Vanguard	iShares
Total US Stock Market	VTSAX (https://investor.vanguard.com/investment-products/mutual-funds/profile/vtsax) (0.04%)	FSKAX (https://fundresearch.fidelity.com/mutual-funds/summary/315911693) (0.015%)	SWTSX (https://www.schwabassetmanagement.com/products/swtsx) (0.03%)	VTI (https://investor.vanguard.com/investment-products/etfs/profile/vti) (0.03%)	ITOT (https://www.ishares.com/us/products/239724/ishares-core-sp-total-us-stock-market-etf) (0.03%)
Total International Stock Market	VTIAX (https://investor.vanguard.com/investment-products/mutual-funds/profile/vtiax) (0.09%)	FTIHX (https://fundresearch.fidelity.com/mutual-funds/summary/31635V638) (0.06%)	SWISX (https://www.schwabassetmanagement.com/products/swisx) (0.06%)	VXUS (https://investor.vanguard.com/investment-products/etfs/profile/vxus) (0.05%)	IXUS (https://www.ishares.com/us/products/244048/ishares-core-msci-total-international-stock-etf) (0.09%)
Total Bond Market	VBTLX (https://investor.vanguard.com/investment-products/mutual-funds/profile/vbtlx) (0.04%)	FXNAX (https://fundresearch.fidelity.com/mutual-funds/summary/316146356) (0.025%)	SWAGX (https://www.schwabassetmanagement.com/products/swagx) (0.04%)	BND (https://investor.vanguard.com/investment-products/etfs/profile/bnd) (0.03%)	AGG (https://www.ishares.com/us/products/239458/ishares-core-total-us-bond-market-etf) (0.04%)
Real Estate Investment Trusts (REIT)	VGSLX (https://investor.vanguard.com/investment-products/mutual-funds/profile/vgslx) (0.13%)	FSRNX (https://fundresearch.fidelity.com/mutual-funds/summary/316146232) (0.07%)	---[note 6]	VNQ (https://investor.vanguard.com/investment-products/etfs/profile/vnq) (0.13%)	USRT (https://www.ishares.com/us/products/239544/ishares-core-us-real-estate-etf) (0.08%)

Rick proposes that investors first determine their bond allocation. With the remaining funds, allocate 50% to US stock, 40% to international and 10% to REIT.[7] For example, for 60/40 and 80/20 portfolios, you would end up with the following[4]:

Core Four Portfolio, Asset Allocations

Desired Stock/Bond Allocation	Total US Stock Market Index Fund	Total International Stock Index Fund	Total Bond Market Index Fund	REIT Index Fund
60 / 40	30%	24%	40%	6%
80 / 20	40%	32%	20%	8%





Rick stresses that the exact allocation percentages are not important; to the nearest 5% is fine.[6]

The Core Four is just a low cost foundation for your portfolio. You could add a slice of value stocks (US and/or International). You could split the bond portion between Treasury Inflation Protected Securities and nominal bonds, which would result in a slightly more conservative version of David Swensen's model portfolio (less international stock and less REIT, but otherwise the same four base funds plus TIPS.

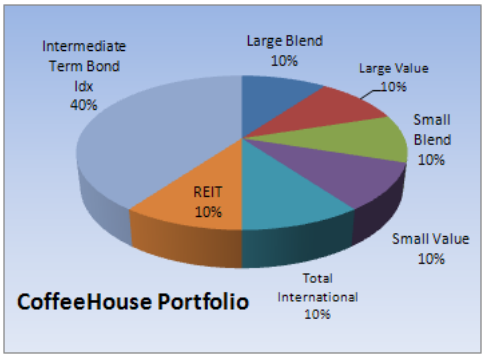
More lazy portfolios

Beyond the simple three- and four-fund lazy portfolios are more complex portfolios. These are still "lazy" in that they contain enough bonds (typically 30-40%) to allow you to maintain the same asset allocation for much of your accumulation phase. The more complex funds add REITs, and 'slice and dice' the US and/or International stocks, adding large and small value to the mix. In some of the cases outlined below, a simpler portfolio can accomplish similar goals. For example, you can 'tilt' away from a total stock market fund by adding a small cap value fund.

Bill Schultheis's "Coffeehouse" portfolio

Bill Schultheis made this simple seven-fund portfolio popular in his book *The Coffeehouse Investor*. He advocates 40% in a total market bond fund and 10% each in various stock funds. You can find more information at The Coffeehouse Investor (https://www.coffeehouseinvestor.com/coffeehouse-beans/coffeehouse-portfolios/). The Coffeehouse Portfolio contains only 10% international stocks (17% of total equities). It slices up the domestic portion, but uses a total international fund.[note 7]

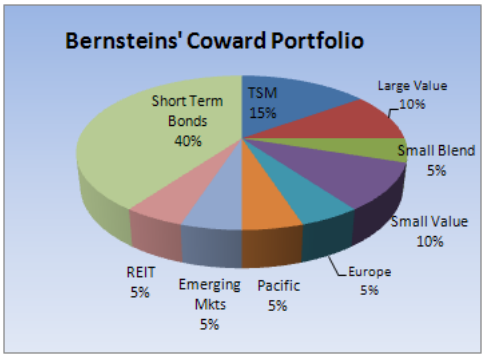
Asset Class	% Allocation	Using ETFs	
		Vanguard	iShares
Large Blend	10%	VOO (0.03%)	IVV (0.03%)
Large Value	10%	VTV (0.04%)	IUSV (0.04%)
Small Blend	10%	VB (0.05%)	ISCB (0.04%)
Small Value	10%	VBR (0.07%)	ISCV (0.06%)
Total International	10%	VXUS (0.05%)	IXUS (0.09%)
REIT	10%	VNQ (0.13%)	USRT (0.08%)
Total Bond	40%	BND (0.03%)	AGG (0.04%)



William Bernstein's "Coward's" portfolio

William Bernstein is the author of several books including *The Intelligent Asset Allocator* and *The Four Pillars of Investing*. He introduced the Coward's Portfolio (http://www.efficientfrontier.com/ef/996/cowards.htm) in 1996. The "coward" refers not to risk tolerance but to the strategy of hedging your bets and having slices of a number of asset classes. This portfolio is similar to the Coffeehouse Portfolio, except that it uses short term bonds, and divides the international portion into equal slices of Europe, Pacific and Emerging markets.

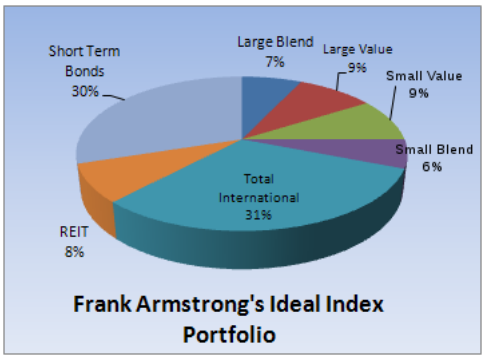
Asset Class	% Allocation	Using ETFs	
		Vanguard	iShares
Total Stock Mkt	15%	VTI (0.03%)	ITOT (0.03%)
Large Value	10%	VTV (0.04%)	IUSV (0.04%)
Small Blend	5%	VB (0.05%)	ISCB (0.04%)
Small Value	10%	VBR (0.07%)	ICSV (0.06%)
Europe	5%	VGK (0.06%)	IEUR (0.09%)
Pacific	5%	VPL (0.07%)	IPAC (0.09%)
Emerging Markets	5%	VWO (0.07%)	IEMG (0.11%)
REIT	5%	VNQ (0.13%)	USRT (0.08%)
Short Term Bond	40%	BSV (0.03%)	ISTB (0.06%)



Frank Armstrong's "Ideal Index" portfolio

Frank Armstrong, author of *The Informed Investor*, proposed this portfolio in an MSN Money article (https://moneycentral.msn.com/content/P128311.asp). It contains a smaller allocation to bonds, and a much larger allocation to international stocks (in fact the equities, excluding REIT, are split 50/50 between domestic and international). Like Bernstein he advocates short term bonds. If the domestic slices were replaced by a total market fund, this portfolio would be very close to the three-fund portfolios, with a slice of REIT added.

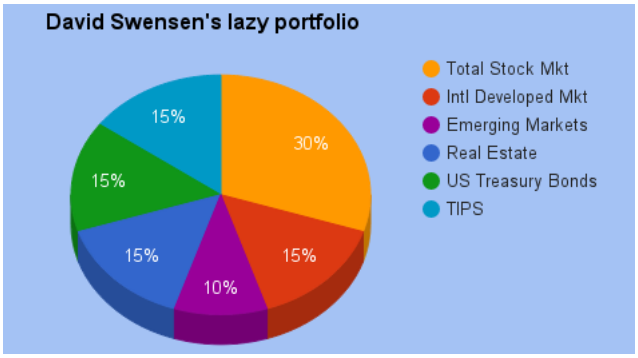
Asset Class	% Allocation	Using ETFs	
		Vanguard	iShares
Large Blend	7%	VOO (0.03%)	IVV (0.03%)
Large Value	9%	VTV (0.04%)	IUSV (0.04%)
Small Blend	6%	VB (0.05%)	ISCB (0.04%)
Small Value	9%	VBR (0.07%)	ICSV (0.06%)
Total International	31%	VXUS (0.05%)	IXUS (0.09%)
REIT	8%	VNQ (0.13%)	USRT (0.08%)
Short Term Bond	30%	BSV (0.03%)	ISTB (0.06%)



David Swensen's lazy portfolio

David Swensen is CIO of Yale University and author of *Unconventional Success*. His lazy portfolio uses low-cost, tax-efficient total market funds, a healthy dose of real estate, and inflation-protected securities (TIPS).[8][note 8]

Asset Class	% Allocation	Using ETFs		
		Vanguard	iShares	SPDR
Total Stock Market	30%	VTI (0.03%)	ITOT (0.03%)	SPTM (0.03%)
Intl Developed Market	15%	VEA (0.03%)	IDEV (0.05%)	SPDW (0.04%)
Emerging Markets	10%	VWO (0.07%)	IEMG (0.11%)	SPEM (0.11%)
Real Estate	15%	VNQ (0.13%)	USRT (0.08%)	XLRE (0.12%)
US Treasury Bonds	15%	VGIT (0.03%)	GOVT (0.05%)	SPTI (0.06%)
TIPS	15%	---[note 4]	TIP (0.19%)	SPIP (0.12%)



Permanent Portfolio

See also: Craig Rowland and J. M. Lawson

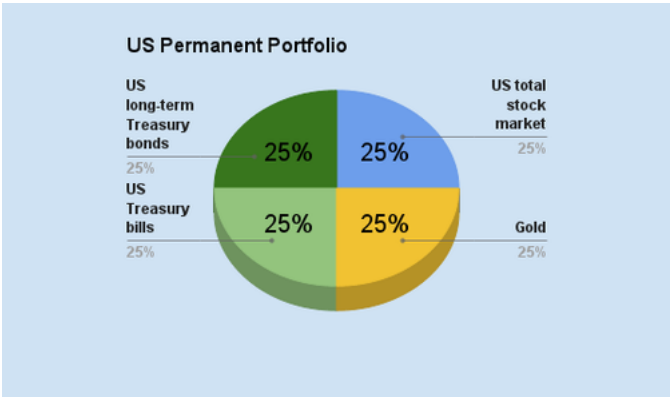
Free-market investment analyst Harry Browne devised the Permanent Portfolio in the 1980s, as a buy-and-hold portfolio that contains a healthy allocation to gold. The portfolio holds equal allocations of domestic stocks, gold, short-term treasury bonds, and long term treasury bonds.[9][note 9]

Forum members Craig Rowland and J. M. Lawson have written a book, *The Permanent Portfolio: Harry Browne's Long-Term Investment Strategy*, detailing every aspect of the Permanent Portfolio.

You can build this portfolio with an investment in a low cost US total stock market index fund, along with direct investments in gold bullion coins, US treasury bills, and US treasury bonds. Or alternatively, with low-cost exchange-traded funds.

US Permanent Portfolio

% Allocation	Asset Class	Using ETFs	
		Vanguard	iShares
25%	US Total Stock Market	VTI (0.03%)	ITOT (0.03%)
25%	Gold Bullion	---[note 4]	IAU (0.25%)
25%	US Treasury Bills	VGSH (0.05%)	SHY (0.15%)
25%	US Long-Term Treasury	VGLT (0.05%)	TLT (0.15%)



Notes

1. Paul B. Farrell, who writes MarketWatch columns about various simple portfolios, popularized the term 'Lazy portfolios'.

2. Taylor Larimore was an early advocate of this approach, which he described in 1999 in a Morningstar posting, Which is better, 15 funds or 4? (https://web.archive.org/web/20210307193847/https://socialize.morningstar.com/NewSocialize/ViewPost.aspx?apptype=0&PostID=17632). The fourth fund is a money market fund used for cash management. You should tailor the portfolio's allocation percentages to your time-frame, risk tolerance and personal financial situation. Discussed in Bogleheads forum topic: "The Three-Fund Portfolio" (https://www.bogleheads.org/forum/viewtopic.php?t=88005), Taylor Larimore. January 1, 2012.
3. Schwab's International Index Fund (SWISX) tracks the MSCI EAFE index. This index does not include emerging market stocks, Canadian stocks, and international small-cap stocks.
4. Vanguard does not offer a similar ETF.
5. Rick said: "The mix between U.S. stocks and international stocks can be changed to suit your preference for dollar exposure. Another option is to swap the total bond market index fund for an investment-grade corporate bond index fund that provides higher yield or a Treasury Inflation Protected (TIPs) fund the provides inflation protection."
6. Schwab offers an REIT index ETF: SCHH (https://www.schwabassetmanagement.com/products/schh) (0.07%).
7. Discussed in Bogleheads forum topic: "Three Index Funds vs "The Coffeehouse Portfolio" ?" (https://www.bogleheads.org/forum/viewtopic.php?t=43345), Shaoya. September 20, 2009.
8. Discussed in Bogleheads forum topic: "David Swensen's lazy portfolio" (https://www.bogleheads.org/forum/viewtopic.php?t=94514), amrogers3. April 10, 2012.
9. Discussed in Bogleheads forum topic: "Updated Modification of Harry Browne Permanent Portfolio" (https://www.bogleheads.org/forum/viewtopic.php?t=15434), allenmickers. Mar 26, 2008 and Bogleheads forum topic: "Harry Browne Permanent Portfolio Discussion (Cont'd)" (https://www.bogleheads.org/forum/viewtopic.php?t=61964), MediumTex. Oct 23, 2010.

See also

- How to build a lazy portfolio
- Three-fund portfolio
- Vanguard four fund portfolio
- Vanguard target retirement funds
- Vanguard LifeStrategy funds

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6. Bogleheads forum topic: "The Core Four" (https://www.bogleheads.org/forum/viewtopic.php?t=10413). December 30, 2007
7. Bogleheads forum post: "Rick Ferri looking to internationalize his portfolio" (https://www.bogleheads.org/forum/viewtopic.php?p=2519915#p2519915), Rick Ferri. June 11, 2015
8. Asset allocations are from: 3 Investment Gurus Share Their Model Portfolios (https://www.npr.org/2015/10/17/436993646/three-investment-gurus-share-their-model-portfolios), Chris Arnold, NPR.org, October 17, 2015. Viewed October 30, 2015.
9. Permanent Portfolio - Early Retirement Extreme Wiki (https://earlyretirementextreme.com/wiki/index.php?title=Permanent_Portfolio)

External links

- Couch Potato Cookbook (https://assetbuilder.com/couch_potato/couch_potato_cookbook.aspx), from assetbuilder.com (https://assetbuilder.com/) - A set of lazy portfolios containing from two to ten funds.
- Bogleheads forum topic: "The Three Fund Portfolio" (https://www.bogleheads.org/forum/viewtopic.php?t=88005), Taylor Larimore. January 1, 2012.
- Lazy Portfolios (https://docs.google.com/spreadsheets/d/1KPHglg2t8FfqfIAhseJCYeGepij25y2BUtE5zZzyI4M/edit?usp=sharing), Google Sheets source for charts (Core four, David Swensen).

Portfolio return data

- The Couch Potato Portfolios (https://assetbuilder.com/lazy-portfolios), from assetbuilder.com (https://assetbuilder.com) - Construction and returns for the Couch Potato portfolios.
- Portfolios (https://www.bogleheads.org/blog/portfolios/), from site blog.

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